

Reading a Payslip: Gross vs Net Salary

Important Life Skills — Understanding Where Money Goes

What is a Payslip?

A payslip is a paper or digital document that shows how much money someone earns and what is taken out each month. It helps people track their earnings and deductions, and plan how to spend and save wisely.

Gross Salary — What Does It Mean?

Gross Salary = the TOTAL money earned BEFORE anything is taken out. It's the full amount your employer promises to pay you!

Example: If you earn ₹30,000 a month, that is your gross salary — the big number before any deductions.

Net Salary — What Does It Mean?

Net Salary = the money you actually TAKE HOME after all deductions are removed from your gross salary.

Example: If ₹5,000 is taken out from ₹30,000, you take home ₹25,000 to spend.

Common Deductions on a Payslip

Tax	Money paid to the government for public services like roads, schools, hospitals
Provident Fund (PF)	Money saved automatically for your retirement in the future
Insurance	Money set aside for health or life protection when it's needed

Example Payslip — Step by Step

1

Gross Salary: ₹30,000 (your total earnings before deductions)

2	Subtract Tax: ₹3,000 (money paid to the government)
3	Subtract PF: ₹1,000 (money saved for the future)
4	Subtract Insurance: ₹1,000 (money for health protection)
5	Net Salary: ₹25,000 (the money you take home!)

Simple formula: Net Salary = Gross Salary – Total Deductions ₹25,000 = ₹30,000 – ₹5,000

Real-Life Example: Meena's Payslip

Gross Salary	₹20,000 — Meena's total earnings before anything is taken out
Tax	₹2,000 — money paid to the government
PF + Insurance	₹1,000 + ₹500 = ₹1,500 saved for future and health protection
Net Salary	₹16,500 — money Meena takes home to spend and save!

Why Understanding Payslips Matters

- Know exactly how much money you earn each month
- Understand where your money goes (taxes, savings, insurance)
- Plan how to spend your take-home pay wisely
- Learn important financial life skills early!

Quiz Time! ⇒

Q1. What is gross salary?	✓ Total earned before any deductions
Q2. What is net salary?	✓ Take-home pay after deductions
Q3. Name one common deduction from a payslip	✓ Tax / PF / Insurance
Q4. Meena earns ₹20,000 gross with ₹3,500 deducted. What is her net salary?	✓ ₹16,500

Key Points to Remember

- Payslip shows your earnings AND your deductions
- Gross salary = total before deductions
- Net salary = your take-home money
- Knowing your payslip helps you manage money better!